



70 | A NEW TERRAIN Mahindra XEV 9e cineluxe on display during the launch



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“A lot of time has gone into understanding areas related to looks and styling. Overall, getting in a well-designed vehicle has given them a differentiator to play with”

A key part of the M&M conglomerate is the automotive and farm equipment business. Reflecting on the last few years, Shah says the group's core businesses were in good shape. “However, investments made in SsangYong and a few international entities were an issue and contributed to a large chunk of the losses. It meant that whatever we made in our businesses was effectively being taken away by the losses,” he explains.

M&M acquired a controlling stake in SsangYong for \$464 million. It struggled for years with the asset. When Shah made a presentation to the board on the way forward, one member said, “There is no need for a discussion because it has made profits only in one quarter. Plus, there is no clear path to the future.”

For the conglomerate, it was a large business, but efficient capital allocation overrode everything else. In mid-2023, SsangYong was finally picked up by Korea's KG Group. “A lot of people tracking the company did not actually believe we would exit this business,” points out Shah. The overall approach within the conglomerate was now devoid of complexity—businesses contributing to losses needed to be looked at very closely. “We had literally 15 exits in about 18 months. That really set us up for a very different path,” outlines Shah.

Just a few months after assuming charge, Shah wanted to lay down goals that had to be achieved. The question was about whether that should be shared publicly. “We had a healthy debate within the organisation and decided to state it,” he says. The target was 18% return on equity (RoE) and 15-20% earnings-per-share growth every year. Contrast that to the highest-ever RoE of 13.4% before that, and a much lower 4.4% in FY21. The RoE